

BARBER REPUBLIC

Founder Leadership and Investor Rules of Engagement

A practical framework for leading Edward's investment process and future capital conversations

Investor input is welcome. Investor protection can be legitimate. Founder leadership and operating control must remain deliberate.

Prepared for Johnny Barber, John Webb and Shane McCarthy

Internal discussion document. Not an investor offer, term sheet, valuation opinion or legal advice.

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How to use this document

This is an internal operating guide for Johnny Barber, John Webb and Shane McCarthy. It translates the capital strategy into meeting leadership, negotiation boundaries and investor rights. It does not characterise Edward Lawton as acting improperly and it does not treat comments from the first call as agreed terms.

The immediate issue

If the founders do not define the process, the investor will naturally fill the vacuum. That can move the company from founder-led negotiation into investor-led decision-making before anyone has consciously agreed to it.

1. The founder leads the journey

The investor can lead their own diligence. The founder should lead the company story, the capital proposition, the meeting structure and the decisions offered for negotiation.

Person	Primary role in the investment process
Johnny Barber	Founder and industry authority. Opens and leads meetings, explains the problem and market, states the company's position, controls the agenda and closes with next steps.
John Webb	Commercial, operational and financial support. Helps test assumptions, prepares the financial position, records open decisions and supports negotiation discipline.
Shane McCarthy	Technology, AI architecture, data, build scope and wider platform strategy. Answers in those areas without becoming the default company lead.
Edward Lawton or another investor	Questions, challenges, diligences, negotiates, offers experience or introductions, and decides whether the proposed risk and return are attractive.

Leadership does not mean dominating the call

Johnny can allow Edward substantial time to question and challenge. Founder leadership means the meeting still follows Johnny's structure, the company's proposition is stated first, and no material term becomes accepted simply because the investor introduced it.

2. What a £50,000 pre-seed investor is purchasing

The investor is not paying a supplier invoice on behalf of the founders. The investor is purchasing a negotiated interest in the company and its future value.

Potentially included through agreed terms	Not automatically included
An economic interest in the company.	Ownership of the platform, source code, data or intellectual property.
Defined shareholder and information rights.	Operational control or a management role.
Agreed protections for material events.	Approval of normal product, hiring, pricing or supplier decisions.

Potentially included through agreed terms	Not automatically included
A defined opportunity to participate in a later round, if negotiated.	A permanent right to invest, block fundraising or select future investors.
The opportunity to advise and make introductions.	Authority to set the company's market or vertical strategy.

Commercial framing

The build cost and the company value are different concepts. Funding the minimal testable product does not, by itself, determine the investor's percentage or authority. The percentage and rights must be negotiated against the company, opportunity, risk, stage and alternatives.

3. Understand the negotiation before judging it

Investors will seek to improve their risk-adjusted position. Founders should expect that and negotiate rather than interpret every request as either harmless or hostile.

Investor incentive	Likely expression	Founder task
Reduce valuation risk	Ask for more equity, a valuation cap, discount or milestone-based release.	Understand the effective dilution and decide the acceptable price of risk reduction.
Increase visibility	Ask for management reports, financial updates, build reports or meetings.	Define the information, frequency, duration, burden and whether it is information only.
Protect the investment	Ask for consent rights, board access or restrictions on certain actions.	Separate legitimate protection on exceptional matters from control of daily operations.
Preserve upside	Ask for pro rata or broader future participation rights.	Decide how much of later rounds should be reserved and when the rights terminate.
Reduce personal exposure	Bring another investor into the round.	Assess both investors, combined dilution, lead status and whether rights are duplicated.
Control uncertainty	Ask for a variable timeframe, tranches or conditions.	Convert uncertainty into objective milestones, boundaries, review points and a final end date.

4. Investor rights: reasonable, negotiable and disproportionate

The amount invested is not the only factor. Ownership, strategic contribution, company stage and the burden placed on the founders also matter. The categories below are a founder discussion framework, not a legal conclusion.

Generally reasonable to discuss at pre-seed	Requires deliberate negotiation	Potentially disproportionate for this round
NDA and controlled due diligence.	Pro rata participation in the next round.	Automatic control of the board.
Agreed use-of-funds visibility.	A board observer role without a vote.	Veto over ordinary product, hiring, pricing or supplier decisions.

Generally reasonable to discuss at pre-seed	Requires deliberate negotiation	Potentially disproportionate for this round
Concise build and pilot updates.	Limited reserved matters protecting the investment.	Open-ended management reporting designed for a mature operating company.
Notification of material risks or delays.	Milestone tranches with objective release conditions.	A variable timeframe with no boundaries, long-stop date or founder exit mechanism.
Legally required shareholder information.	A defined right to discuss or participate in a future round.	Rights that allow one investor to delay or block later fundraising.
Advice and introductions without executive authority.	Additional reporting during the initial build or pilot.	Permanent rights that continue after the investor has been materially diluted.
Appropriate confidentiality protections.	Specific consent thresholds for genuinely exceptional corporate actions.	Restrictions that prevent Barber Republic changing market sequence or entering adjacent verticals.

5. The four issues raised on the first call

These are treated as discussion topics reported by Shane, not as Edward's final demands. Each topic can be reasonable or problematic depending on the wording and practical effect.

5.1 NDA

Reasonable purpose	Boundary to preserve
Protect confidential commercial, technical and personal information disclosed during diligence.	The NDA should not create exclusivity, an obligation to invest, unrestricted access to all intellectual property or a right to share information with unnamed parties.
Allow the investor and approved advisers to assess the opportunity.	Recipients, permitted use, duration, return or deletion and exclusions for already-known or public information should be clear.

Practical position

Sending an NDA is a normal next step. It should remain a confidentiality document. It should not quietly become the investment agreement or the mechanism through which control begins.

5.2 Management reports

Question to resolve	Why it matters
What exact report is required?	A short founder update, build report, cash report and formal management accounts are different burdens.
How often?	Weekly reporting can consume a disproportionate amount of a pre-seed team's time. Monthly or milestone updates may be more practical during a short build.
For what period?	A temporary pilot reporting arrangement should not automatically become a permanent investor entitlement.
Information or approval?	Receiving a report must not be allowed to become approval authority over the decisions reported.
What happens after dilution?	Enhanced rights should normally be linked to a minimum holding or defined period.

Question to resolve	Why it matters
Who pays and prepares?	Reporting should not create a finance and administration burden larger than the investment justifies.

Founder counter-position to consider

Offer a concise, defined reporting package: a monthly build and cash update during development, pilot metrics after launch, immediate notice of material issues, and a review of the reporting cadence after the agreed pilot period. The founders decide whether that package is appropriate.

5.3 Variable timeframe agreement

The build scope already anticipates a 12 to 14 week delivery period and recognises that exact timing may be refined as the work progresses. That flexibility is commercially understandable. It becomes dangerous when the variation is open-ended or gives one investor continuing leverage over launch, post-launch activity or the next raise.

A workable variation mechanism	An unsafe variation mechanism
Defines the original target period and the reasons it may change.	Uses "variable" without a final boundary or long-stop date.
Uses objective milestones and written review points.	Lets one party decide subjectively whether progress is adequate.
States who can approve changes and how quickly.	Allows the investor to delay launch, funding or future fundraising.
Includes a final date, termination route or reset process.	Creates continuing obligations after the initial capital has been deployed.
Separates build timing from investor governance.	Turns development uncertainty into investor control of the company timetable.

5.4 A second investor

Possible benefit	Founder questions before agreeing
More capital, stronger network or reduced dependence on one investor.	Is the total round increasing or is Edward reducing his own cheque?
Shared diligence and potentially broader expertise.	Who is lead investor, if anyone, and who speaks for the group?
A larger post-launch runway.	What is the combined dilution and are both investors receiving separate special rights?
Potential signal for the next round.	Does the new investor improve the company or merely reduce Edward's personal risk?

Control point

Edward can introduce another investor. Johnny and John decide whether that person enters the round, on what terms and whether anyone is recognised as lead. Risk-sharing between investors does not increase their collective right to control the company.

6. Input, protection and control are different

Investor input	Legitimate investment protection	Founder operating control
Questions and challenge.	Consent before issuing shares with rights senior to the investor's agreed class, where applicable.	Product design, roadmap and iteration.
Advice and sector perspective.	Protection against changing the investor's class rights without consent.	Pricing, customer terms and commercial experiments.
Introductions to customers, talent or capital.	Visibility or consent around sale, winding up or other exceptional corporate events, if proportionate and documented.	Hiring, suppliers and normal expenditure within an agreed budget.
Participation in agreed update meetings.	Defined information rights and notice of material events.	Market sequencing, geographic rollout and entry into adjacent verticals.
A non-binding view on strategic choices.	Rights that expire or reduce when the holding falls below an agreed threshold.	Day-to-day management and leadership of the company.

Protective provisions are not inherently improper. The key is scope. They should protect the negotiated investment against exceptional actions without giving a minority investor a general veto over how the company is built and operated.

7. AI-era operating realities that must shape the terms

Barber Republic is an AI-enabled marketplace with a short test cycle and a wider platform option. The investment structure should preserve speed and evidence-led change rather than locking the company into assumptions made before launch.

- **The market sequence may change** when real pilot evidence shows where density, retention or willingness to pay is strongest.
- **The product will iterate after launch** so the agreement should not require a static product definition to remain unchanged.
- **Optionality has value** because the same verification, matching, payments and trust engine may travel into other labour markets.
- **Open-ended restrictions are costly** because they can slow a company during a period when technology and competitors move quickly.
- **Reporting should support decisions** rather than consume the small team that is supposed to create the evidence.
- **Investor rights should scale with the relationship** rather than treating a £50,000 pre-seed investor as though they funded a later institutional round.

The discipline

Move quickly, but do not use speed as a reason to sign unclear terms. Preserve the company's ability to learn quickly, change route and raise the next round from a stronger position.

8. Founder responses to common requests

Request	Question before answering	Possible founder position to consider
"I need management reports."	Which reports, frequency, period and purpose?	Offer a defined monthly build and cash update, then pilot metrics, with no approval right and a review date.
"The timetable must be variable."	Variable within what boundary and decided by whom?	Use objective milestones, written change control and a final long-stop date.

Request	Question before answering	Possible founder position to consider
"I want another investor involved."	Does this increase the round, reduce Edward's cheque or change control?	Assess the second investor independently and offer one coherent rights package for the round.
"I want a board seat."	What ownership, experience and ongoing contribution justify it now?	Consider no seat, an observer role, or a later governance review tied to a larger follow-on investment.
"I need approval over key decisions."	Are these exceptional investment protections or ordinary operations?	Limit any consent rights to specific exceptional matters and financial thresholds.
"I want the right to invest in later rounds."	Maintain percentage, increase percentage, or simply receive notice?	Choose between first look, pro rata or no special right, with thresholds and expiry.
"I need exclusivity while I decide."	For how long, covering what, and what is the investor committing?	Avoid open-ended restrictions. Any pause should be short, specific and matched by clear investor actions.

9. Structure of the next investor meeting

Johnny should take Edward through a deliberate sequence. Edward can then challenge the proposition from an informed starting point.

Time	Lead	Purpose
0 to 5 minutes	Johnny	Open the meeting, set the agenda and restate what Barber Republic is.
5 to 12 minutes	Johnny	Explain the market problem, founder insight and London pilot.
12 to 20 minutes	Shane, with Johnny leading	Explain the minimal testable product, AI and data architecture, evidence to be produced and wider platform optionality.
20 to 27 minutes	John, with Johnny leading	Explain the capital ask, use of funds, runway and the decisions still being modelled.
27 to 37 minutes	Edward questions; Johnny controls sequence	Diligence and negotiation questions. Record proposals without accepting unclear terms.
37 to 40 minutes	Johnny	Summarise what is agreed, what remains open, who owns each action and when the next response will be provided.

Meeting rule

A question can be answered on the call. A material term does not need to be accepted on the call. "We understand the request. We will model its effect and respond in writing" is a complete founder answer.

10. Internal decisions before any term sheet

1. Confirm that Johnny will lead the next call and agree the speaking roles in advance.
2. Agree the current capital ask, use of funds and whether the raise is £50,000 only or a wider runway round.
3. Confirm the existing and proposed cap table, including the 10% milestone-based allocation recorded in the build scope.

4. Set the preferred and maximum pre-seed dilution positions.
5. Choose the preferred strategic pathway while preserving the ability to change as evidence develops.
6. Define the reporting package the company is willing and able to provide.
7. Define the acceptable boundaries for any variable timeframe or milestone arrangement.
8. Decide whether a second investor is welcome and whether the total round should change.
9. Decide the position on board access, consent rights and future participation.
10. Agree that no material economic or control term is accepted without cap table modelling and legal review.

11. Founder meeting checklist

Before the meeting	During the meeting	After the meeting
One agenda. One lead. Agreed speaking roles.	Johnny opens, frames and closes.	Circulate a written record of agreed and open points.
Capital ask and use of funds stated clearly.	Questions are welcomed; unclear terms are not accepted.	Model every proposed equity and follow-on term.
Preferred route and alternatives understood.	Separate information, advice, protection and control.	Have legal advisers convert principles into documents.
Non-negotiables and negotiable points agreed internally.	Record exact requests rather than paraphrasing them later.	Do not allow silence or delay to become informal exclusivity.

Desired outcome

Johnny and John should leave the process understanding the language, the choices and the trade-offs well enough to lead. The documents support informed ownership. They do not replace it.

Sources and basis

Company-specific basis

- Barber Republic Build Scope, five pages, including product modules, London pilot, delivery period, build budget, commercial equity proposal and future adjacent-market opportunity.
- Founder discussion between Shane McCarthy and ChatGPT on 3 August 2026. Comments attributed to Edward Lawton are presented as Shane's account of topics raised on the call, not verified quotations or agreed investor terms.

External reference points

- [UK Private Capital, 2025 Model Documents for Early Stage Investments](#)
- [Cooley GO, "Consider Control and Voting Rights When Making Venture Capital Deals"](#)
- [SeedLegals, "Negotiating Your Term Sheet and Deal Terms"](#)
- [Companies Act 2006, section 561, existing shareholders' right of pre-emption](#)
- [British Business Bank, "A guide to equity funding stages for your business"](#)

Professional advice

This document is an internal founder framework, not legal, tax, accounting, valuation or investment advice. The NDA, term sheet, articles, shareholders' agreement, share issue, convertible instrument, vesting terms and investor rights should be reviewed by appropriately qualified advisers in the company's jurisdiction.